

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 1920

By: Reinhardt of the Senate

and

Tedford of the House

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9 An Act relating to motor vehicle insurance; amending
10 47 O.S. 2021, Section 1111, as last amended by
11 Section 42, Chapter 171, O.S.L. 2025 (47 O.S. Supp.
12 2025, Section 1111), which relates to salvage;
13 increasing certain percent damage required for title
14 return; updating statutory language; updating
15 statutory reference; and providing an effective date.

16 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

17 SECTION 1. AMENDATORY 47 O.S. 2021, Section 1111, as
18 last amended by Section 42, Chapter 171, O.S.L. 2025 (47 O.S. Supp.
19 2025, Section 1111), is amended to read as follows:

20 Section 1111. A. As used in this section:

21 1. "Loss" means the cost, in dollars, to repair or replace a
22 vehicle which has been damaged by collision or other occurrence.
23 The amount paid by an insurer to a holder of the certificate of
24 title for repair of a damaged vehicle shall be prima facie evidence
25 of the amount of the loss. The amount paid by an insurer to a

holder of the certificate of title for replacement of a damaged vehicle less the resale value of the damaged vehicle shall be prima facie evidence of the amount of the loss;

2. "Fair market value" means the value of a vehicle as listed in the current National ~~Auto~~ Automobile Dealers Association guidebook or other similar guidebook or the actual cash value, whichever is greater;

3. "Resale value" means the amount, in dollars, paid to the holder of a certificate of title by a willing buyer for a vehicle damaged by collision or other occurrence or recovered from theft;

4. "Total loss" means a loss which is equal to the fair market value of the vehicle immediately prior to the damage to or theft of the vehicle; and

5. "Vehicle" means a vehicle, as defined in paragraph ~~40~~ 41 of Section 1102 of this title, manufactured within the last ten (10) model years.

B. Any insurance company that pays a total loss on a claim for any vehicle including, but not limited to, a flood-damaged vehicle or recovered-theft vehicle, any junk dealer who receives a motor vehicle which is to be used for junk or for parts, or any other person permanently dismantling or junking a vehicle shall receive the certificate of title from the current holder of the certificate of title, shall detach the license plate from the vehicle, and shall return the license plate and the certificate of title to Service

1 Oklahoma or a licensed operator within thirty (30) days from receipt
2 of the certificate, or insurance companies may provide alternate
3 documentation within thirty (30) days pursuant to subsection P of
4 Section 1105 of this title. Service Oklahoma shall cancel the
5 certificate of title to the vehicle used for junk or parts and shall
6 preserve the vehicle identification numbers (VINs) on the
7 certificate of title in the computer files for at least five (5)
8 years. No certificate of title may be reissued on a junked vehicle
9 as defined in Section 1105 of this title, unless reissued pursuant
10 to paragraph 3 of subsection C of this section. Service Oklahoma
11 shall transfer ownership of a stolen vehicle, not recovered from
12 theft at the time of transfer, by salvage or unrecovered-theft title
13 to the insurer. Service Oklahoma shall transfer ownership of a
14 vehicle damaged by flooding or other occurrence to the insurer by an
15 original title, salvage title, or junked title, as may be
16 appropriate, based upon an estimate of the amount of loss submitted
17 by the insurer. All license plates surrendered to Service Oklahoma
18 shall be destroyed.

19 C. 1. If an insurance company pays a claim for a loss which is
20 less than a total loss but the cost of repairing the vehicle for
21 safe operation on the highway exceeds ~~sixty percent (60%)~~ seventy
22 percent (70%) of the fair market value of the vehicle, or if any
23 vehicle not insured is damaged to the extent that the cost of repair
24 for safe operation on the highway exceeds ~~sixty percent (60%)~~

1 seventy percent (70%) of the fair market value of the vehicle, any
2 holder of the certificate of title for the vehicle shall return the
3 certificate of title to Service Oklahoma or a licensed operator
4 within thirty (30) days from receipt of payment for the loss.

5 2. Upon receipt of the certificate, Service Oklahoma or the
6 licensed operator shall issue a salvage title for the vehicle. The
7 title for any vehicle damaged by flooding shall be stamped with the
8 words "Flood Damaged", and for any such vehicle which was recovered
9 from a theft, the salvage title or rebuilt title shall be stamped
10 with the words "Recovered Theft". A licensed dealer subject to the
11 provisions of the Automotive Dismantlers and Parts Recycler Act,
12 Section 591.1 et seq. of this title, shall not be required to pay
13 registration fees, excise taxes, back taxes, or penalties on a
14 vehicle as a prerequisite to obtaining a salvage title.

15 3. If the actual documented cost of repairing the vehicle for
16 safe operation on the highway does not exceed ~~sixty percent (60%)~~
17 seventy percent (70%) of the fair market value of the vehicle as
18 defined in this section, the certificate of title shall be reissued
19 to the holder and the vehicle shall not be subject to inspection as
20 required under this section. The actual documented cost of
21 repairing the vehicle pursuant to this paragraph shall be certified
22 by the insurance company paying the loss.

23 D. If a motor vehicle with a salvage title is placed in
24 operative condition, application shall be made to Service Oklahoma

1 or a licensed operator for a rebuilt title. A visual inspection of
2 the vehicle and examination of the vehicle identification numbers
3 shall be conducted prior to the issuance of a rebuilt title. At the
4 time of issuance, the salvage title shall be returned to Service
5 Oklahoma by the owner, or by the licensed operator if the licensed
6 operator issues the rebuilt title. A visual inspection shall also
7 be made of any out-of-state vehicle to be registered and titled in
8 this state if the vehicle is within the class of vehicles for which
9 a rebuilt title is required and a similar inspection has not been
10 conducted by another state. The certificate of title for the
11 rebuilt vehicle shall be stamped with the words, "This Rebuilt
12 Vehicle Has Been Inspected by the Appropriate State Official."

13 E. 1. The visual inspections and examination of vehicle
14 identification numbers shall include, but not be limited to:

- 15 a. comparison of the vehicle identification numbers with
16 the number recorded on the ownership records,
- 17 b. inspection of the vehicle identification numbers and
18 the VIN plate to detect possible alteration or other
19 fraud,
- 20 c. interpretation of the vehicle identification number
21 recorded on the ownership documents to assure that it
22 accurately describes the motor vehicle in question,
23 and
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d. inspection of the odometer of the vehicle to detect rollback or alteration.

2. All vehicle damage shall be repaired before the examination is conducted. The following paperwork shall be presented to the licensed operator: the salvage title and original receipts for all parts placed on the vehicle. Components such as doors, motor, and transmission shall indicate the serial number or the vehicle identification number ~~(VIN)~~ of the auto the part was purchased from or removed from.

F. The visual inspection and vehicle identification numbers examination shall be performed by a licensed operator at the location designated by the licensed operator. If the location of the inspection is not the place of business of the rebuilder, the licensed operator shall issue a permit authorizing the applicant to operate the vehicle upon the public streets, roads, and highways in route to and from the designated location for the inspection. The inspection and examination shall be performed within ten (10) working days after the owner of the vehicle requests the inspection and examination. Requests shall be made by completing the request form prescribed and provided by Service Oklahoma.

G. Inspection and examination of a rebuilt vehicle shall be performed by a person employed by a licensed operator.

H. The fee for the examination by the licensed operator shall be Twenty-five Dollars (\$25.00), which shall be paid at the time of

1 issuance of the certificate of title for the rebuilt vehicle. The
2 licensed operator shall retain Five Dollars (\$5.00) and shall remit
3 Twenty Dollars (\$20.00) to the Oklahoma Tax Commission which shall
4 retain Ten Dollars (\$10.00) and transmit Ten Dollars (\$10.00) to the
5 State Treasurer for deposit in the Department of Public Safety
6 Revolving Fund through December 31, 2022. Beginning January 1,
7 2023, through June 30, 2026, the licensed operator shall retain Five
8 Dollars (\$5.00) and shall remit Twenty Dollars (\$20.00) to the Tax
9 Commission which shall retain Ten Dollars (\$10.00) and transmit Ten
10 Dollars (\$10.00) to the State Treasurer for deposit in the Service
11 Oklahoma Revolving Fund. Beginning July 1, 2026, the licensed
12 operator shall retain Five Dollars (\$5.00) and shall remit Twenty
13 Dollars (\$20.00) to Service Oklahoma which shall retain Ten Dollars
14 (\$10.00) and transmit Ten Dollars (\$10.00) to the State Treasurer
15 for deposit in the Service Oklahoma Revolving Fund. The licensed
16 operator and its employees and agents may not be sued for and shall
17 not be liable for any damages allegedly arising out of the
18 inspection of a vehicle or any acts or omissions in the performance
19 of the inspection. The licensed operator may be held liable for any
20 damages to the vehicle caused by the negligent acts or omissions in
21 the performance of the inspection. Any person may be liable for any
22 damages to a vehicle caused by the intentional acts or omissions in
23 the performance of the inspection.

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1 I. The rebuilt title and any subsequent transfers of such title
2 shall also reflect that the vehicle was a salvage vehicle, flood-
3 damaged vehicle, or recovered-theft vehicle, if applicable, and also
4 shall include the salvage date.

5 J. Any title for a motor vehicle issued pursuant to the laws of
6 any other state which reflects that such vehicle is a salvage
7 vehicle, a rebuilt vehicle or a junked vehicle or has any other
8 brand or classification notation by that state shall be retained on
9 the new title issued by Service Oklahoma unless the actual
10 documented cost of repairing the vehicle for safe operation on the
11 highway does not exceed ~~sixty percent (60%)~~ seventy percent (70%) of
12 the fair market value of the vehicle as provided by this section.

13 K. When the insurance company pays a loss on a vehicle which is
14 registered at the time of mishap, accident, burning, or flooding,
15 the appropriate certificate of title shall be issued without the
16 payment of additional registration fees or excise taxes, upon the
17 submission of a police report or insurance adjuster's report and a
18 declaration by the insurer that the vehicle is held for sale to a
19 dealer. If the owner of the vehicle or other insured retains
20 ownership of the damaged vehicle, Service Oklahoma shall notify the
21 owner or insured of the requirements of this section.

22 L. Any insurance company that pays a claim for a loss where the
23 cost of repairing the vehicle for safe operation on the highway
24 exceeds ~~sixty percent (60%)~~ seventy percent (70%) of the market

1 value of the vehicle or pays a claim for a flood-damaged vehicle as
2 defined in Section 1105 of this title shall notify, in writing, the
3 holder of the certificate of title of the requirements of this
4 section and shall notify Service Oklahoma of the payment of such
5 claim. The notice shall include the estimated total damage
6 percentage determination of the actual cash value made by the
7 insurance company to repair the vehicle for safe operation on the
8 highway. The insurance company shall also send a copy of the
9 notification to the holder of the title. Service Oklahoma shall
10 provide notice to the owner of the vehicle in writing requiring the
11 owner to surrender the title along with the fee to Service Oklahoma
12 or one of its licensed operators within thirty (30) days from the
13 receipt of notice for the issuance of the appropriate title based on
14 the amount of loss. Service Oklahoma shall reissue the appropriate
15 title with the words "Flood Damaged" on the face of the title in the
16 case of a flood-damaged vehicle; provided, no insurance company
17 shall pay a claim for less than the amount to which the holder of
18 the certificate of title is rightfully entitled in order to avoid
19 compliance with this section.

20 M. Except as provided for in subsection N of this section, any
21 person, firm, corporation, or other legal entity convicted of
22 violating any provision of this section shall be guilty of a
23 misdemeanor and shall be punished by a fine ~~of~~ not less than Three
24 Hundred Dollars (\$300.00) or by ~~incarceration~~ imprisonment in the

1 county jail for not more than six (6) months, or by both the fine
2 and ~~incarceration~~ imprisonment.

3 N. Any owner of a titled vehicle who has knowledge that the
4 title is not the proper type for the vehicle and, with intent to
5 misrepresent the vehicle, fails to make the appropriate title
6 changes, shall be guilty of a misdemeanor. Any person who has
7 knowledge that the title is not the proper type for the vehicle, and
8 with intent to misrepresent the vehicle, buys or receives any
9 vehicle for which the appropriate title changes have not been made
10 as required by the Oklahoma Vehicle License and Registration Act
11 shall be guilty of a misdemeanor. Any person found guilty in
12 accordance with the provisions of this subsection shall be punished
13 by a fine ~~of~~ not more than One Thousand Dollars (\$1,000.00) for the
14 first offense or Five Thousand Dollars (\$5,000.00) for the second or
15 subsequent offense, or by imprisonment in the county jail for a term
16 not exceeding six (6) months, or by both such fine and imprisonment.

17 O. Any owner of a salvage or junked vehicle shall submit the
18 certificate of title to Service Oklahoma or the licensed operator
19 for issuance of an appropriate title. Any holder of a certificate
20 of title issued by this state, to a vehicle which no longer exists,
21 shall surrender the certificate of title to Service Oklahoma for
22 cancellation. The vehicle identification number on the canceled
23 certificate of title shall be preserved ~~in the computer of~~
24 electronically by Service Oklahoma for at least five (5) years.

1 Nothing in this section shall be construed to prevent the
2 transfer of ownership of a vehicle by assignment of the title to a
3 used car dealer, wholesale used car dealer, or a licensed automotive
4 dismantler or parts recycler.

5 SECTION 2. This act shall become effective November 1, 2026.

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7 COMMITTEE REPORT BY: COMMITTEE ON COMMERCE AND ECONOMIC DEVELOPMENT
8 OVERSIGHT, dated 04/14/2026 - DO PASS.

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